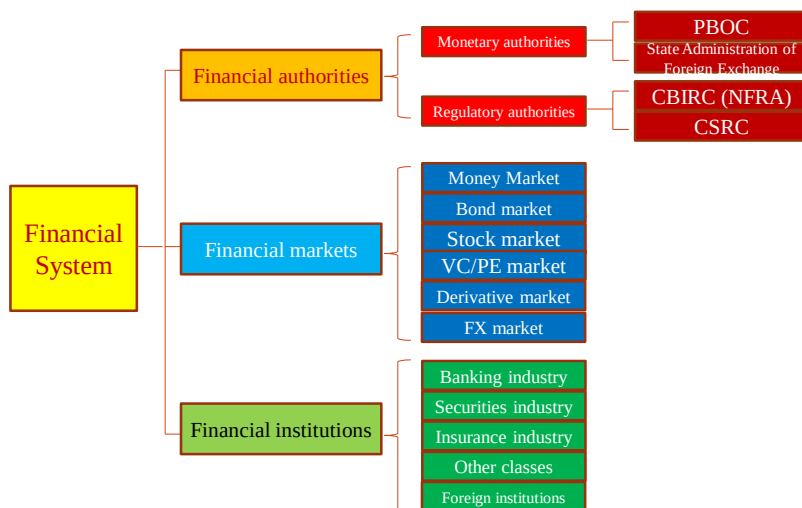


Introduction to the Chinese Financial System

LECTURE 4 FINANCIAL REGULATION SYSTEM IN CHINA

China's financial system



FINANCIAL REGULATORY AUTHORITIES

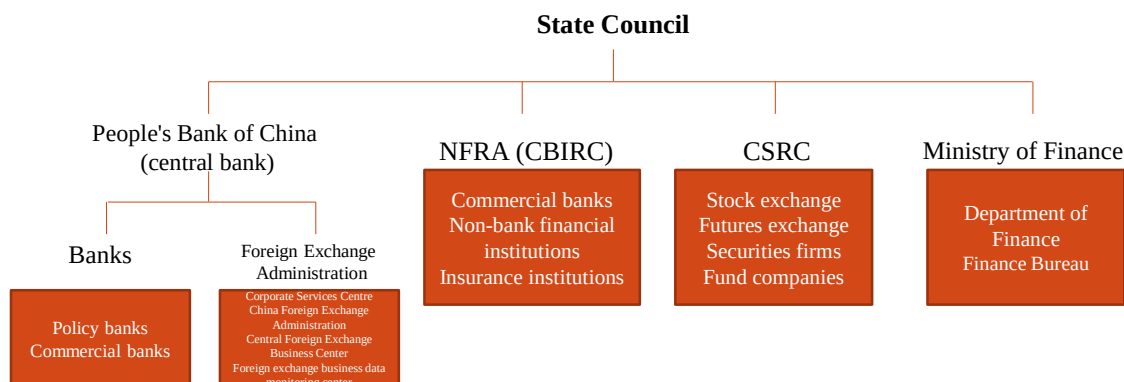
Financial regulators

- A financial regulator is an institution that supervises and regulates a country's financial system in accordance with legal requirements.
- The responsibilities of the financial supervisory authority include:
 - To supervise and regulate **financial markets** in accordance with regulations;
 - To supervise the lawful and compliant operation of **financial institutions**;
 - To issue **orders and rules** relating to financial supervision, administration and business.

China's financial regulatory agencies

- the People's Bank of China (PBoC);
 - the State Administration of Foreign Exchange (SAFE)
- National Financial Regulatory Administration
 - the China Banking and Insurance Regulatory Commission (CBIRC);
- the China Securities Regulatory Commission (CSRC).

China's financial system relationship structure



*Note: CBIRC turned into National Financial Regulatory Administration in May 2023

(1) The People's Bank of China

- Establishment: In 1948
- Nature: China's central bank
- Functions:
 - Bank of money issuing: Monopolize the issuance of RMB.
 - Bank of the government: To manage the financial activities of the whole country on behalf of the government, to manage the national Treasury.
 - Bank of banks: To provides financial support to commercial banks.

(2) China Banking Regulatory Commission

- Establishment: In 2003, the banking supervision functions originally exercised by the People's Bank of China were separated, and CBRC was established.
- Scope of supervision: commercial banks, urban credit cooperatives, rural credit cooperatives, policy banks, financial asset management companies, trust and investment companies, financial companies, financial leasing companies, etc.
- Main responsibilities:
 - To formulate rules, regulations and measures for the supervision of banking financial institutions.
 - To examine and approve the establishment, alteration and termination of banking financial institutions and their business.
 - To conduct on-site and off-site supervision of the banking industry, investigate and punish illegal acts in accordance with the law.
 - To be responsible for the unified preparation of national banking data and statements, and publish them in accordance with relevant state regulations.
 - To provide opinions and suggestions on emergency risk disposal of deposit-taking financial institutions.

(3) China Insurance Regulatory Commission

- Establishment: On November 18, 1998
- The China Insurance Regulatory Commission (CIRC) is responsible for supervising the national commercial insurance market.
- Main responsibilities:
 - To conduct unified supervision and administration of the national insurance market according to law.
 - To examine, approve and manage the establishment, alteration and termination of insurance companies, insurance agents and insurance broker institutions.
 - To formulate basic clauses and premium rates for major types of insurance, examine other clauses and premium rates reported by insurance companies, and maintain the order of the insurance market.
 - To conduct regular or irregular on-site and off-site inspections on the business status, financial status and funds utilization of insurance companies.
 - To investigate and punish the illegal and non-compliant behaviors of insurance institutions.

China Banking and Insurance Regulatory Commission

- Establishment: On April 8, 2018
- China Banking and Insurance Regulatory Commission (CBIRC) has effectively inherited the functions of the CBRC and CIRC.
- Main responsibilities:
 - To oversee and administer the banking and insurance industries in accordance with laws and regulations.
 - To safeguard the legal and sound operation of the banking and insurance industries.
 - To prevent and defuse financial risks, and protect the legitimate rights and interests of financial consumers.
 - To safeguard financial stability.

(4) China Securities Regulatory Commission

- Establishment: In October 1992, China Securities Regulatory Commission (CSRC) is responsible for supervision on securities markets.
- Main responsibilities:
 - To formulate guidelines, policies and development plans for securities and futures markets, and draft laws and regulations related to securities and futures markets.
 - To supervise securities and futures institutions in a unified manner.
 - To be responsible for the supervision and administration of the issuance and trading of securities.
 - To be responsible for the supervision of listed companies and their information disclosure, and to improve the quality of information disclosure.

(5) The State Administration of Foreign Exchange

- Establishment: in 1979
- Status: A functional institution directly under The State Council and administered by the People's Bank of China to implement state foreign exchange control.
- Main responsibilities:
 - Responsible for the statistics and management of the balance of payments, prepare the balance of payments, and put forward policy suggestions for maintaining the balance of payments
 - Responsible for the administration of the foreign exchange market, supervise and administer the operation order of the foreign exchange market, and foster and develop the foreign exchange market
 - Responsible for the administration of foreign debts, formulate the measures for the administration of exchange under current account; Standardize the management of foreign exchange accounts, supervise and manage foreign exchange transactions under capital accounts.
 - To manage the state's foreign exchange reserves as entrusted by the People's Bank of China.

(6) National Financial Regulatory Administration

- Establishment: May 2023. The National Financial Regulatory Administration (NFRA) is a newly established regulatory body, tasked with overseeing the country's financial sector, excluding the securities market.
- The NFRA was created by merging the China Banking and Insurance Regulatory Commission (CBIRC) into a single entity to enhance regulatory efficiency and oversight capabilities. This restructuring reflects China's efforts to better address risks in its financial system.
- Main responsibilities:
 - Supervising banking, insurance, and other financial institutions that were previously overseen by the CBIRC.
 - Strengthening regulatory enforcement and oversight of financial conglomerates and other non-banking financial institutions.
 - Enhancing risk prevention mechanisms within the financial system.

Evolution of China's financial regulatory system

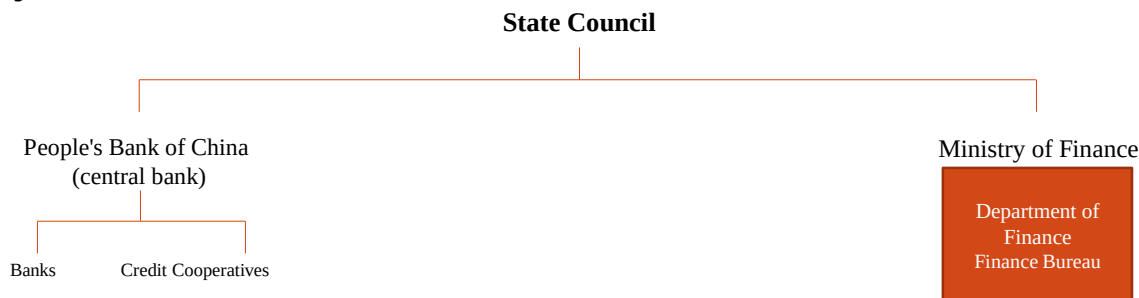
1949-1977: Early Initial Stage

- **Initial Centralized Control Stage:** Under the planned economy system, China's financial market was dominated by the banking industry, and there was almost only the People's Bank of China (PBoC).
- PBoC not only served as a regulatory institution with the function of the central bank but also carried out commercial banking business such as deposits and loans. It had multiple functions such as monetary policy formulation, financial operation, and organization management, implementing a highly centralized financial management system and managing finance through administrative means.
- At this time, the role of financial supervision was not fully exerted.
 - 1949: The People's Republic of China (PRC) was founded. The financial system was heavily centralized, with the state taking control of all financial institutions.
 - 1950s: The People's Bank of China (PBoC) was established in 1948 and became the central bank in 1950. It functioned as the only bank in China, combining central and commercial banking functions.
- During this period, the financial system served the needs of a planned economy. **There was no financial market or independent regulatory framework.**

China's financial regulatory agencies before 1978

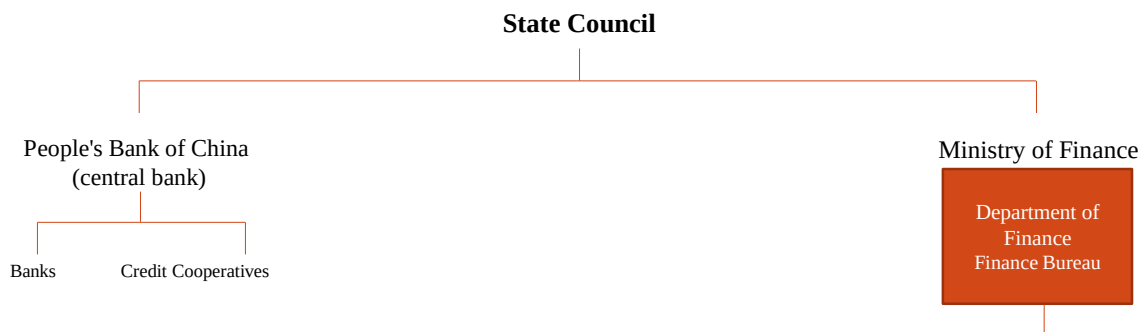
By Law

“The Central People's Government of the people's Republic of China” on 27 Sep. 1949



China's financial regulatory agencies before 1978

In fact, from 1953 “The first five-year plan of China”



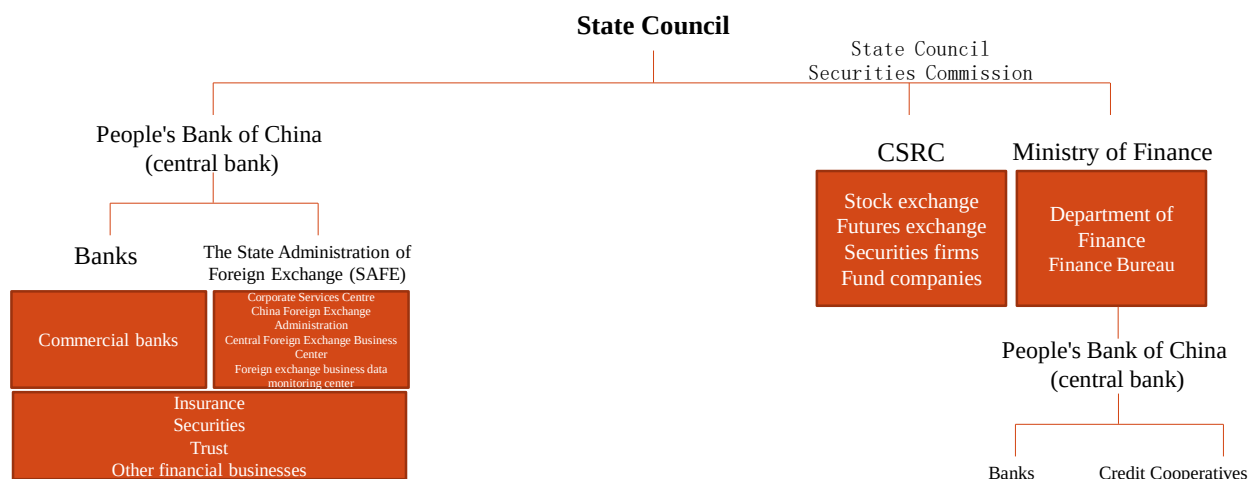
1978-1992: Reform and Opening-Up

- After the reform and opening up, with the gradual establishment of the socialist market economic system, the government successively restored or newly established several major specialized banks, as well as financial institutions in the insurance, trust, and securities industries.
 - 1978: The Third Plenary Session of the 11th Central Committee marked the beginning of economic reforms under Deng Xiaoping, leading to gradual financial liberalization.
 - 1983: The PBoC was restructured to function solely as the central bank, with its commercial banking operations transferred to newly created institutions such as the Industrial and Commercial Bank of China (ICBC), Agricultural Bank of China (ABC), and Bank of China (BOC).
 - 1986: the “Interim Regulations on Bank Management” was issued, and the People’s Bank of China was officially established as the central bank, responsible for formulating monetary policies, supervising banking, insurance, securities, trust, and other financial businesses, marking the initial formation of China's financial regulatory system.
 - 1990,1991:The Shanghai and Shenzhen Stock Exchanges were established in 1990 and 1991, respectively.
 - 1992: the State Council decided to establish the State Council Securities Commission and the Securities Regulatory Commission to undertake the People's Bank of China's supervision and management of the securities and futures markets.

China's financial regulatory agencies 1978-1992

In 1978

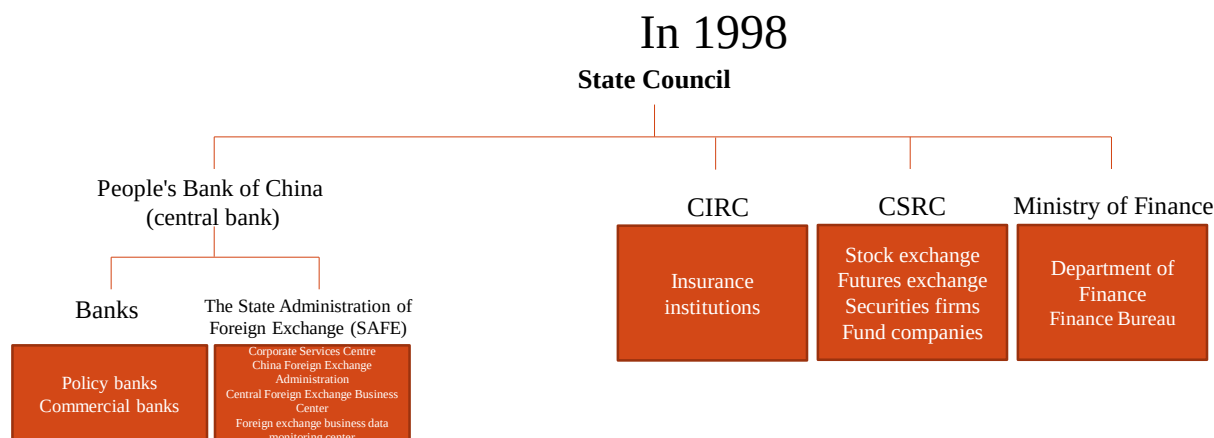
In 1992



1993-2000: Market Economy Development

- With the establishment and development of the socialist market economic system, China's capital market developed rapidly.
- Market economy development and regulatory framework formation:
 - 1992: Deng Xiaoping's "Southern Tour" accelerated market-oriented reforms.
 - 1993: the State Council issued the "Decision of the State Council on the Reform of the Financial System," requiring the separation of the insurance, securities, trust, and banking industries for separate operation and introducing corresponding financial regulatory laws.
 - 1995: The Commercial Bank Law was enacted, separating commercial banking from policy lending.
 - 1998: The Ministry of Finance (MOF) took steps to improve regulatory oversight, and the PBoC's supervisory role was strengthened.
 - 1998: the State Council Securities Commission and the Securities Regulatory Commission merged to form the China Securities Regulatory Commission, uniformly supervising national securities and futures business institutions.
 - 1998: the China Insurance Regulatory Commission was established to uniformly supervise insurance business institutions.

China's financial regulatory agencies 1993-2000



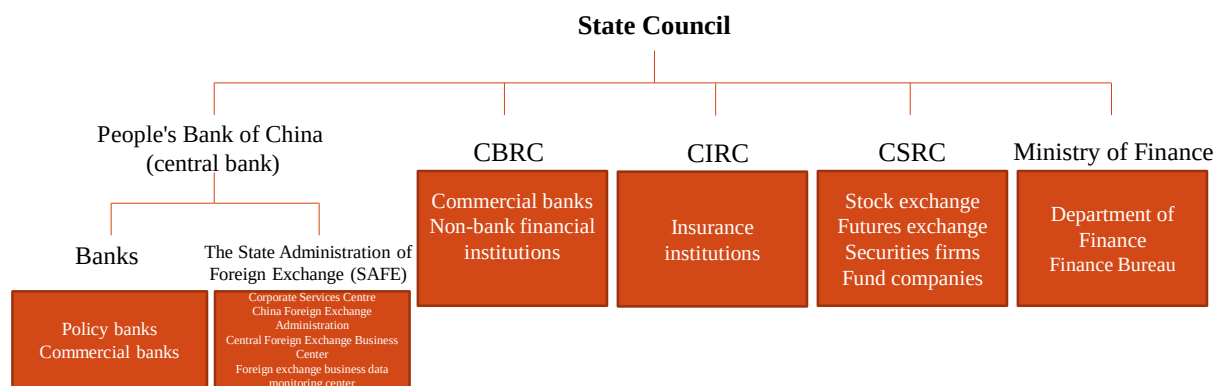
2001-2012: Integration with Global Markets

- **Integration with Global Markets and Consolidation of Regulatory Agencies**
 - 2001: China joined the World Trade Organization (WTO), which prompted further financial reforms and integration with global markets.
 - 2003: The China Banking Regulatory Commission (CBRC) was established to uniformly oversee banking activities, further delineating responsibilities from the PBoC. Thus, the "one bank, three commissions" segmented financial regulatory pattern in China was formally formed.
 - Since 2004, China's financial segmented regulatory system has been continuously improved.
 - 2005: The State Administration of Foreign Exchange (SAFE) was reorganized to enhance the regulation of foreign exchange markets.
 - 2008: The global financial crisis highlighted the need for more robust regulatory frameworks, leading to increased coordination among the PBoC, CSRC, CIRC, and CBRC.

China's financial regulatory agencies 2001-2012

In 2003

"One Bank and Three Commissions" (一行三会)

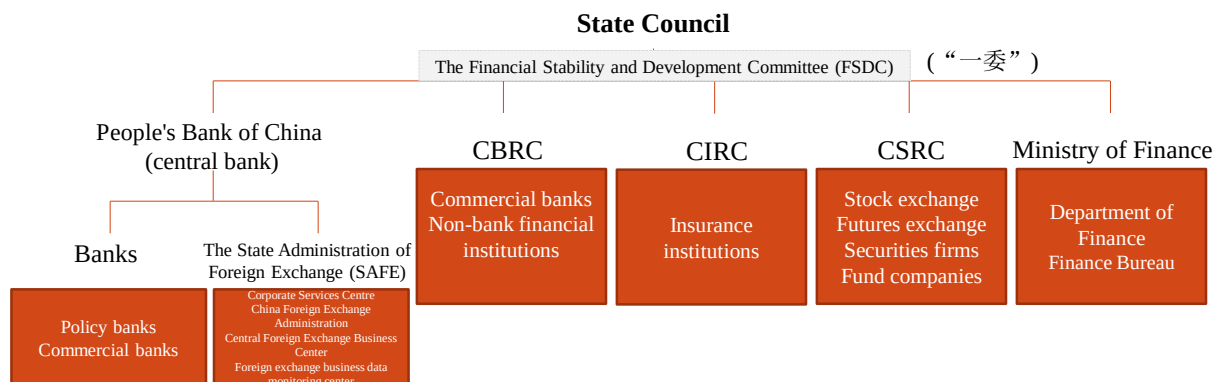


2013-2018: Modernization

- **Modernization and Reform for Stability**
 - 2013: The Third Plenary Session of the 18th Central Committee emphasized deepening financial reforms and increasing the market's role in resource allocation.
 - 2015: China experienced a stock market crash, prompting regulatory responses to stabilize markets and improve oversight.
 - 2017: The Financial Stability and Development Committee (FSDC) was established under the State Council to coordinate financial regulation between departments and prevent systemic risks.
 - 2018: The CBRC and CIRC were merged into the China Banking and Insurance Regulatory Commission (CBIRC) to streamline regulatory functions. The financial regulatory pattern of "one committee, one bank, and two commissions" was thus formed.

China's financial regulatory agencies 2013-2018

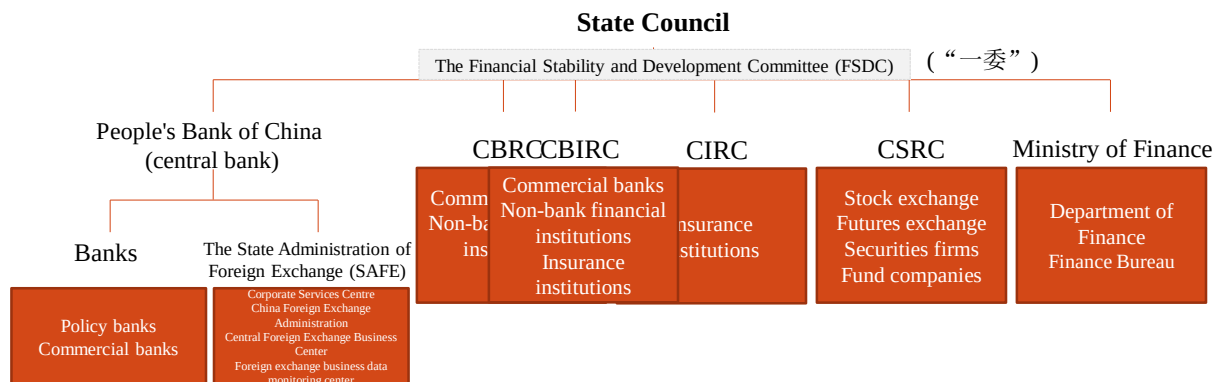
"One Bank and Three Commissions" (一行三会)



China's financial regulatory agencies in & after 2018

In 2018

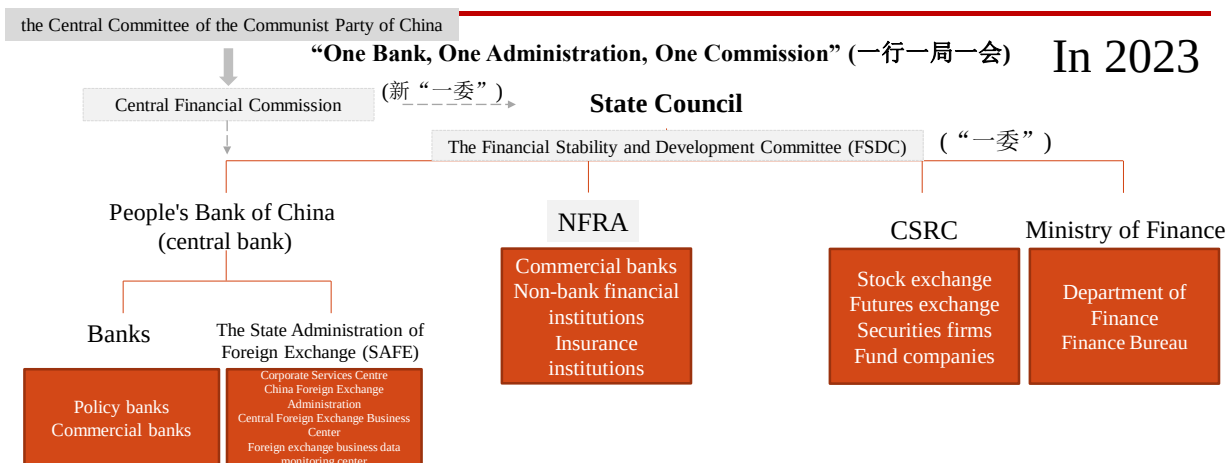
“One Bank and Two Commissions” (一行两会)



2018 - present: Transformation Stage

- In this period, China's financial industry has entered the era of mixed operation, with continuous emergence of financial innovation and regulatory arbitrage, and some relatively serious problems have been exposed under the segmented supervision model, and the potential possibility of systemic financial risks has increased.
 - 2020: The PBoC issued regulations on the financial technology (fintech) industry, reflecting the growing importance of digital finance.
 - 2021-2022: Continued emphasis on financial risk prevention, with increased scrutiny on fintech, real estate finance, and local government debt. The regulation of digital currencies and the implementation of the digital yuan (e-CNY) were also key developments.
 - 2023: The NFRA was created by merging the China Banking and Insurance Regulatory Commission (CBIRC) into a single entity to enhance regulatory efficiency and oversight capabilities.

China's financial regulatory agencies after 2023



CBIRC turned into National Financial Regulatory Administration (NFRA) in May 2023

the NFRA is part of China's broader strategy to improve its financial system's stability and prevent systemic risks

Key Trends

- **Centralization vs. Decentralization:**
 - Throughout its history, China's financial regulatory system has oscillated between centralization and decentralization, reflecting broader political and economic priorities.
- **Integration with Global Standards:**
 - Since the 1990s, China's regulatory framework has increasingly aligned with international norms, though the state maintains significant control.
- **Technological Innovation:**
 - The rise of fintech and digital currencies poses new challenges and opportunities for China's financial regulators, who are seeking to balance innovation with stability.

Evolution of banking regulation in China

Banking Regulation (1949-1978)

- Early Stage (Before 1978): Under the planned economy, the banking sector was highly centralized, with the People's Bank of China (PBoC) being the main institution. It handled both monetary policy formulation and banking operations.
- 1949-1978: Centralized Banking under a Planned Economy
 - 1949: Establishment of the People's Republic of China (PRC). The banking system was entirely state-owned and centrally controlled.
 - 1950: The People's Bank of China (PBoC) was established as the central bank, absorbing the roles of both a central and commercial bank. It became the sole bank in the country, handling all banking functions, including issuing currency, managing state revenues, and allocating credit according to state plans.
 - 1950s-1970s: Banking activities were heavily subordinated to the needs of the planned economy. The focus was on financing state-owned enterprises (SOEs) and agricultural collectives. There was no need for independent banking regulation as the state controlled all aspects of banking.

Banking Regulation (1978-1992)

- Reform and Opening Up Period (1978 - 1990s): With the start of economic reforms, the banking system began to transform.
- 1978-1992: Economic Reforms and Initial Banking Reforms
 - 1978: The Third Plenary Session of the 11th Central Committee marked the beginning of economic reforms, initiating the gradual shift towards a market economy.
 - 1979: The first specialized banks were established, including the Agricultural Bank of China (ABC) and the China Construction Bank (CCB) were separated from PBoC. The Bank of China (BOC) was restructured to focus on foreign trade and foreign exchange.
 - 1983: The PBoC was formally designated as the central bank, separating its functions from those of commercial banks.
 - 1984: The Industrial and Commercial Bank of China (ICBC) was established to take over the PBoC's commercial banking operations.
 - 1985: The establishment of the Bank of Communications (BoCom) marked the beginning of the development of a more diverse banking sector.

Banking Regulation (1992-2001)

- Establishment of Specialized Regulatory Bodies (1992-2001): Formation of a Regulatory Framework.
 - 1992: Deng Xiaoping's "Southern Tour" accelerated market reforms, prompting further restructuring of the banking system.
 - 1992: The China Securities Regulatory Commission (CSRC) was set up to oversee the securities market.
 - 1993: The "Decision on Financial System Reform" was issued, aiming to establish a modern financial system. It marked the start of creating a more formal regulatory framework.
 - 1995: The Commercial Bank Law was enacted, providing a legal framework for the operation of commercial banks, prudential regulation, risk management, and the protection of depositors.
 - 1998: The PBoC's supervisory role was strengthened, and policy banks like the China Development Bank (CDB) were established to separate policy-driven lending from commercial banking operations.
 - 1998: The China Insurance Regulatory Commission (CIRC) was established to regulate the insurance industry.

Banking Regulation (2001-2012)

- Consolidation and International Integration (2001-2012):
 - 2001: China's accession to the World Trade Organization (WTO) led to increased openness in the banking sector, with foreign banks gaining limited access to the domestic market.
 - 2003: The China Banking Regulatory Commission (CBRC) was established, separating the regulatory functions from the PBoC. The CBRC was tasked with supervising and regulating banks to ensure financial stability and sound banking practices.
 - 2004-2007: Major state-owned commercial banks (SOCBs) like ICBC, ABC, BOC, and CCB underwent significant reforms, including recapitalization, restructuring, and initial public offerings (IPOs), to improve governance and efficiency.
 - 2008: The global financial crisis underscored the need for stronger regulatory oversight, leading to the CBRC tightening regulations on lending practices and capital adequacy.

Banking Regulation (2013-2018)

- Modernization and Risk Management (2013-2018):
 - 2013: The Third Plenary Session of the 18th Central Committee emphasized deepening financial reforms, focusing on liberalizing interest rates and exchange rates, and enhancing financial stability.
 - 2015: The stock market turmoil prompted regulatory interventions, highlighting vulnerabilities in the financial system. The CBRC took measures to curb risky lending and speculative activities.
 - 2017: The Financial Stability and Development Committee (FSDC) was established under the State Council to coordinate financial regulation and prevent systemic risks, reflecting a more integrated approach to financial supervision.
 - 2018: The CBRC was merged with the China Insurance Regulatory Commission (CIRC) to form the China Banking and Insurance Regulatory Commission (CBIRC), aimed at streamlining regulatory oversight and enhancing supervision across banking and insurance sectors.

Banking Regulation (Since 2018-)

- Strengthening regulatory coordination and effectiveness (Since 2018):
 - In 2018, the CBRC and the CIRC were merged to form the CBIRC. This new body is now responsible for the unified regulation of the banking and insurance sectors, strengthening regulatory coordination and effectiveness.
 - 2020-2021: The PBoC and CBIRC focused on regulating fintech and internet-based banking, reflecting the growing importance of digital finance. Regulatory measures were also introduced to address risks associated with the rapid expansion of shadow banking, real estate finance, and local government debt.
 - 2023: Continued efforts were made to strengthen the regulatory framework, particularly in areas such as anti-money laundering (AML), combating the financing of terrorism (CFT), and the regulation of digital currencies, including the rollout of the digital yuan (e-CNY).

Key Trends

- **Shift from Centralization to Market Orientation:**
 - The banking regulation in China evolved from a centrally controlled system to a more market-oriented one, with increasing emphasis on risk management and regulatory oversight.
- **Integration with Global Standards:**
 - China has progressively aligned its banking regulations with international norms, especially after joining the WTO, while maintaining state control over key sectors.
- **Technological Innovation and Regulation:**
 - The rise of fintech and digital banking has introduced new regulatory challenges, requiring the development of new frameworks to manage emerging risks.
- **Balancing Growth with Stability:**
 - The challenge for regulators has been to support economic growth while preventing financial instability, particularly in the face of rapid financial innovation and global market integration.

Evolution of insurance regulation in China

Insurance Regulation (Before 1979)

- **Early Stage (Before 1979):** After the founding of New China in 1949, the People's Insurance Company of China was established and led by the People's Bank of China. Insurance regulation was mainly carried out by the People's Bank of China. However, from the late 1950s, the insurance industry in China entered a long period of downturn, and insurance regulation also stagnated.
- **1949-1978: Centralized Control and Initial Development**
 - 1949: The People's Republic of China (PRC) was established. The insurance industry, like other financial sectors, was nationalized and brought under state control.
 - 1950s: The People's Insurance Company of China (PICC) was established in 1949 as the sole insurance provider in the country. It operated under the Ministry of Finance and was responsible for providing insurance services, primarily focusing on state-owned enterprises and government assets.
 - 1959: The insurance industry was largely dismantled as China shifted towards a centrally planned economy, and insurance services were deemed unnecessary in a system where the state assumed all economic risks.
 - 1978: The Third Plenary Session of the 11th Central Committee initiated economic reforms under Deng Xiaoping, leading to the revival of the insurance industry as part of broader financial sector reforms.
 - In April 1979, the State Council approved the gradual restoration of domestic insurance business, and the insurance industry was still supervised and managed by the People's Bank of China.

Insurance Regulation (1979-1992)

- With the resumption of domestic insurance business in 1979, the insurance business was supervised by the People's Bank of China.
- **1978-1992: Economic Reforms and Revitalization of the Insurance Sector**
 - 1980: The PICC was re-established, signaling the revival of the insurance industry. It began offering both life and non-life insurance products, though the market remained heavily regulated and controlled by the state.
 - 1982: The State Council issued guidelines to encourage the development of the insurance industry, recognizing its importance in supporting economic reforms and providing risk management.
 - 1985: The "Interim Regulations on the Administration of Insurance Enterprises" stipulated that the state insurance regulatory authority was the People's Bank of China.
 - 1988: The first joint-stock insurance company, China Pacific Insurance Company (CPIC), was established, marking a significant step towards diversifying the industry.

Insurance Regulation (1992-2001)

- 1992-2001: Formalization of the Regulatory Framework
 - 1992: Deng Xiaoping's "Southern Tour" accelerated economic reforms, leading to the growth of the insurance sector and the need for more formal regulation.
 - 1995: The Insurance Law of the People's Republic of China was enacted, providing the first comprehensive legal framework for the insurance industry, such as the basic principles for the operation, supervision, and regulation of insurance companies.
 - In 1995, the People's Bank of China established the Insurance Department to specifically supervise Chinese-funded insurance companies. At the same time, the People's Bank of China strengthened the construction of the insurance regulatory agency system, requiring the establishment of insurance departments in provincial branches and the allocation of full-time insurance regulatory personnel in branches below the provincial level.
 - 1998: The China Insurance Regulatory Commission (CIRC) was established, separating insurance regulation from the Ministry of Finance. The CIRC was tasked with overseeing the insurance industry.
 - 2001: China's accession to the World Trade Organization (WTO) led to further opening of the insurance market to foreign insurers, promoting competition and modernization within the industry.

Insurance Regulation (2001-2013)

- After its establishment, the CIRC gradually realized the transformation from mainly focusing on market access and market behavior regulation to emphasizing both market behavior regulation and solvency regulation.
- 2001-2013: Expansion and Modernization
 - 2001: China's accession to the World Trade Organization (WTO) led to further opening of the insurance market to foreign insurers, promoting competition and modernization within the industry.
 - 2002-2003: The CIRC introduced several reforms to strengthen the regulatory framework, including enhanced capital requirements, improved corporate governance standards, and stricter supervision of insurance company solvency.
 - 2003: The CIRC issued the "Regulations on the Solvency Margin of Insurance Companies and Regulatory Indicators Management," marking the initial establishment of China's insurance solvency regulatory system.
 - 2005: The CIRC issued new regulations allowing foreign insurers to establish wholly owned subsidiaries in China, further liberalizing the market.
 - 2006: The Insurance Law was amended to introduce more stringent regulatory requirements, particularly in areas such as consumer protection, market conduct, and financial solvency.

Insurance Regulation (2013-2018)

- 2013-2018: Risk Management and Integrated Supervision
 - 2013: The Third Plenary Session of the 18th Central Committee emphasized the need for deepening financial reforms, including the insurance sector, to support economic development and manage financial risks.
 - 2015: The CIRC implemented new regulations aimed at curbing aggressive investment practices by insurance companies, particularly in real estate and equities, in response to concerns about financial stability.
 - 2017: The Financial Stability and Development Committee (FSDC) was established to coordinate financial regulation across sectors, including insurance, to prevent systemic risks.
 - 2018: The CIRC was merged with the China Banking Regulatory Commission (CBRC) to form the China Banking and Insurance Regulatory Commission (CBIRC). This merger was part of a broader effort to streamline financial regulation and improve coordination between banking and insurance supervision.

Insurance Regulation (2018 –)

- (2018 - present): Strengthening supervision and improving systems to promote high-quality development of the insurance industry.
 - 2018: The China Banking and Insurance Regulatory Commission (CBIRC) was established to uniformly supervise the banking and insurance industries.
 - 2020-2021: The CBIRC introduced new rules to strengthen the regulation of insurance products, enhance consumer protection, and improve the solvency of insurance companies. The focus was also on curbing the risks associated with complex and opaque insurance products.
 - 2023: The regulatory framework continued to evolve, with a focus on managing emerging risks in the insurance sector, including those related to digital insurance platforms, the integration of financial technology (fintech), and the potential impacts of global financial instability.
 - 2023: According to the "Plan for the Reform of Party and State Institutions," the National Financial Regulatory Administration was established to be responsible for the regulation of the financial industry except the securities industry, including the insurance industry.

Key Trends

- **From Centralization to Market Orientation:**
 - The regulation of the insurance industry in China has evolved from strict state control to a more market-oriented approach, with increasing emphasis on risk management, consumer protection, and financial stability.
- **Internationalization and Competition:**
 - China's entry into the WTO and the subsequent opening of the insurance market to foreign competition have driven significant changes in regulatory practices, aligning them more closely with international standards.
- **Regulatory Consolidation:**
 - The establishment of the CBIRC and the FSDC reflects China's efforts to create a more integrated and coordinated financial regulatory framework, capable of managing risks across the banking and insurance sectors.
- **Technological Innovation and Regulation:**
 - The rise of digital insurance and fintech has introduced new regulatory challenges, requiring ongoing adaptation of the regulatory framework to manage risks associated with technological innovation.

Evolution of securities regulation in China

Securities Regulation (1949-1978)

- 1949-1978: Pre-Reform Era (Centralized Control)
 - 1949: The People's Republic of China (PRC) was established, and the economy was heavily centralized. The financial system, including securities markets, was under strict state control, and there was no independent securities market or regulatory framework.
 - 1950s-1970s: During the planned economy era, there was minimal activity in securities markets. Bonds were occasionally issued by the government, but no formal stock exchanges existed, and securities regulation was nonexistent.

Securities Regulation (1978-1992)

- 1978-1992: Reform and Early Development of Securities Markets
 - 1978: The Third Plenary Session of the 11th Central Committee marked the beginning of economic reforms under Deng Xiaoping, leading to the gradual introduction of market mechanisms.
 - 1981: The first government bonds were issued after decades, marking the re-emergence of securities activities in China.
 - 1984: Pilot experiments in securities trading began in cities like Shanghai and Shenzhen, laying the groundwork for formal securities markets.
 - 1990: The Shanghai Stock Exchange (SSE) and the Shenzhen Stock Exchange (SZSE) were established, representing the birth of formal stock exchanges in China.
 - 1992: The China Securities Regulatory Commission (CSRC) was established, initially under the State Council's Securities Committee, to oversee the rapidly developing securities markets. **This marked the beginning of formal securities regulation in China.**

Securities Regulation (1992 – 2001)

- 1992-2001: Establishment of Regulatory Framework
 - In 1992, the State Council Securities Committee and the China Securities Regulatory Commission (CSRC) were announced, marking the beginning of the formation of a unified regulatory system for the securities market in China. The State Council Securities Committee was the main agency for the unified macro-management of the securities market, and the CSRC was the regulatory enforcement agency responsible for supervising the securities market in accordance with laws and regulations.
 - 1993: The "Decision on the Establishment of a Socialist Market Economy" was issued, emphasizing the need for a legal and regulatory framework to govern the securities markets.
 - In 1993, the State Council decided to entrust the pilot work of the futures market to the State Council Securities Committee, with the CSRC specifically implementing it.
 - In 1995, the State Council officially approved the "Institutional Establishment Plan of the China Securities Regulatory Commission," confirming the CSRC as a directly affiliated, vice-ministerial-level institution under the State Council. It was the regulatory enforcement agency of the State Council Securities Committee and supervised the securities and futures markets in accordance with laws and regulations.
 - 1995: The Securities Law of the People's Republic of China was enacted, providing a comprehensive legal framework for the operation and regulation of securities markets. This law covered aspects such as the issuance, trading, and disclosure requirements of securities, as well as the responsibilities of market participants.
 - 1997: In response to the Asian Financial Crisis, the Chinese government took measures to stabilize its financial markets, leading to stricter enforcement of securities laws and regulations.
 - In 1997, the Shanghai and Shenzhen Stock Exchanges were unified under the supervision of the CSRC. The CSRC

Securities Regulation (1998)

- Consolidation and Maturity:
 - In 1998, according to the State Council's institutional reform plan, the State Council Securities Committee and the CSRC were merged to form a directly affiliated, positive-ministerial-level institution under the State Council. In September 1998, the State Council approved the "Functions, Internal Organs, and Staffing of the China Securities Regulatory Commission," clearly defining the CSRC as a directly affiliated institution under the State Council and the competent department of the national securities and futures markets.
 - 1998: The CSRC was upgraded to a ministry-level agency, signaling the central government's commitment to developing and regulating securities markets. The CSRC was given broader powers to regulate, supervise, and enforce securities laws.

Securities Regulation (2001-2013)

- 2001-2013: Expansion, Integration, and Modernization
 - 2001: China joined the World Trade Organization (WTO), prompting further opening and reform of its financial markets. The CSRC introduced regulations to attract foreign investment and integrate with global capital markets.
 - 2004: The CSRC implemented the "split-share structure reform," which aimed to eliminate the distinction between tradable and non-tradable shares, improving market liquidity and corporate governance.
 - 2005: The Securities Law was amended to introduce stricter rules on corporate governance, disclosure, and investor protection. The amended law also gave the CSRC greater authority to enforce regulations and combat securities fraud.
 - 2007: The launch of the Growth Enterprise Market (GEM) in Shenzhen provided a platform for small and medium-sized enterprises (SMEs) to raise capital, reflecting the growing diversity of China's securities markets.

Securities Regulation (2013-2023)

- 2013-2023: Enhancing Stability, Risk Management, and Innovation
 - 2013: The Third Plenary Session of the 18th Central Committee emphasized the need for deepening financial reforms, including the development of multi-level capital markets and the enhancement of securities regulation.
 - 2015: China experienced a significant stock market crash, leading to increased scrutiny of market manipulation, high-frequency trading, and the role of margin financing. The CSRC responded by tightening regulations, enhancing market supervision, and introducing measures to improve transparency and investor protection.
 - 2017: The Financial Stability and Development Committee (FSDC) was established under the State Council to coordinate financial regulation, including securities markets, to prevent systemic risks.
 - 2019: The STAR Market was launched on the Shanghai Stock Exchange, modeled after the NASDAQ, to promote innovation and support technology-driven companies. The CSRC introduced a registration-based IPO system for the STAR Market, representing a significant shift from the approval-based system traditionally used in China.
 - 2020: The CSRC expanded the registration-based IPO system to the Growth Enterprise Market (GEM) in Shenzhen, further modernizing China's capital markets and improving the efficiency of the IPO process.
 - 2021-2023: The CSRC focused on improving market transparency, enhancing corporate governance, and tightening regulation of high-risk financial products, such as structured funds and derivatives. The CSRC also implemented regulations to manage the risks associated with fintech and digital assets, reflecting the growing importance of these areas in China's financial markets.

Securities Regulation (2023-)

- In 2023, the State Council institutional reform plan was approved. The CSRC was adjusted from a directly affiliated institution under the State Council to a directly affiliated agency.
 - The corporate bond issuance review responsibilities of the National Development and Reform Commission were transferred to the CSRC, which was unified responsible for the review of corporate (enterprise) bond issuance.
 - The National Financial Regulatory Administration was established, and the investor protection responsibilities of the CSRC were transferred to the National Financial Regulatory Administration.
 - The staff of the CSRC implemented the salary treatment standards for national civil servants.

Key Trends

- **From Centralization to Market Orientation:**
 - The evolution of securities regulation in China reflects the country's broader transition from a centrally planned economy to a more market-oriented system, with increasing sophistication in regulatory frameworks.
- **Building and Strengthening Regulatory Institutions:**
 - The establishment and empowerment of the CSRC were crucial in developing a regulatory framework capable of managing China's rapidly growing and increasingly complex securities markets.
- **Global Integration and Standards:**
 - Since joining the WTO, China has worked to align its securities regulation with international norms, while balancing the need for state control over critical sectors.
- **Technological Innovation and Market Modernization:**
 - The rise of fintech, digital platforms, and innovations like the STAR Market represent new opportunities and challenges for securities regulation, requiring continuous adaptation of regulatory frameworks.
- **Risk Management and Stability:**
 - The CSRC has increasingly focused on managing financial risks, ensuring market stability, and protecting investors, particularly in response to market disruptions and financial crises.

Challenges for China's financial regulation

- **Supervision Modes and Coordination Mechanisms**

- **Challenges to the Separate Supervision Model:** With the strengthening of financial innovation and the trend of mixed operation, the boundaries between financial businesses such as banking, securities, and insurance are becoming increasingly blurred. The original separate supervision model has difficulty effectively dealing with cross-industry and cross-market financial risks. For example, some financial holding companies or financial groups engaged in comprehensive operations are involved in multiple financial fields simultaneously. There may be regulatory overlaps or regulatory gaps among different regulatory agencies, leading to regulatory arbitrage and loopholes in risk prevention and control.
- **Imperfections in the Supervision Coordination Mechanism:** Although there are currently financial supervision coordination mechanisms such as those involving the People's Bank of China, the National Administration of Financial Regulation, and the China Securities Regulatory Commission, there are still some problems in the actual operation of coordination and cooperation among regulatory agencies. For instance, regulatory information sharing is insufficient, communication is not smooth, and the coordination cost is relatively high, which affects the efficiency and effectiveness of supervision and makes it difficult to form a united regulatory force to effectively prevent and deal with systemic financial risks.

Challenges for China's financial regulation

- **Supervision Scope and Content**

- **Inadequate Supervision in Emerging Financial Areas:** The rapid development of fintech has given rise to many emerging financial formats, such as Internet finance, digital currency, and robo-advisors. The business models in these areas are complex and diverse, and their risk characteristics are different from those of traditional financial businesses. However, the corresponding regulatory systems and norms are relatively lagging behind, and there are certain regulatory gaps, which are prone to breeding financial risks.
- **Incomplete Risk Supervision of the Daily Operation of Financial Institutions:** Current supervision focuses more on the approval of institutions and operational compliance, while the risk supervision of the daily operation of financial institutions is not yet standardized and comprehensive. For example, in risk supervision, there is a problem of emphasizing traditional deposit and loan businesses while neglecting off-balance-sheet businesses and other financial innovation businesses; more attention is paid to credit risk while other risks such as interest rate risk and exchange rate risk are not given enough consideration; too much emphasis is placed on ex-post assessment indicators such as capital adequacy and liquidity, while the forward-looking supervision of the operating capacity, profitability, and prospects of financial institutions is ignored.

Challenges for China's financial regulation

- **Supervision Methods and Means**
 - **Relatively Single Supervision Methods:** It mainly relies on external supervision. The self-management and industry self-discipline mechanisms of financial institutions are not perfect, and the role of social supervision institutions has not been fully played, resulting in low supervision efficiency and poor effectiveness.
 - **Lack of Forward-looking and Adaptive Supervision:** Current supervision is more about controlling and monitoring existing problems. There is a lack of forward-looking supervision systems and countermeasures for possible future financial risks, making it difficult to adapt to the rapid changes in the financial market and the continuous emergence of financial innovation.